3.3.2 Income elasticity of demand

Unit 3.3 Marketing management · 7 key points

- **Income elasticity of demand (YED):** % change in quantity demanded ÷ % change in income
- **Normal good:** positive YED; demand rises as income rises
- **Income elastic (luxury):** YED above +1
- **Income inelastic (necessity):** YED between 0 and +1
- **Inferior good:** negative YED; demand falls as income rises
- **Value to marketers:** forecasting demand as the economy changes
- **Trap:** negative YED means demand falls when incomes rise